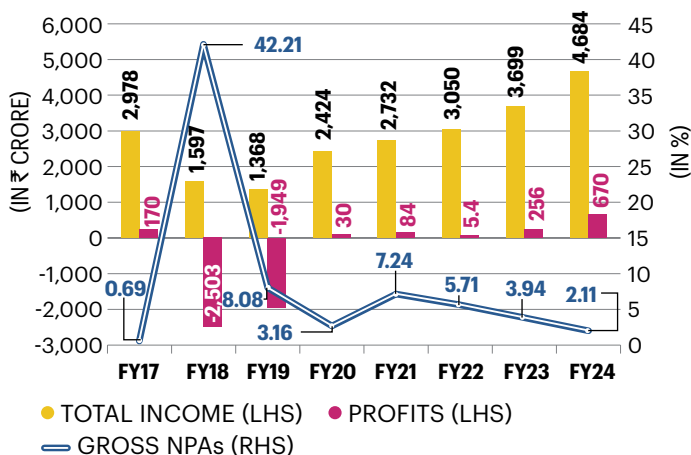


JANA'S WORLD

● After losses post-demonetisation, the bank is back in black with record profits

● Steep fall in gross NPAs with a more balanced portfolio of secured and unsecured loans



SOURCE ANNUAL STATEMENTS



NEW STRATEGY

- 1 Offer multiple products to existing customers; focus on cross-selling
- 2 Evaluating new products like used two-wheeler loans in smaller geographies
- 3 Focussing on penetration into current states and expanding to Tier I and Tier II centres
- 4 Enhancing location strategy by mapping industry performance and tightening policies



CHALLENGES AHEAD

- 1 Tough competition from other SFBs and private banks in the secured segment
- 2 NIMs to fall as secured advances will increase going forward
- 3 Needs scale of operations for banking ambitions
- 4 Private equity-led shareholding in the bank, which could change hands

shared his assessment with Ram-anathan, who asked him during their second meeting, "Why don't you come in as CEO?" As he spent more time with Jana, Kanwal's conviction about the company's future grew stronger. When he submitted data on the top 2 million micro borrowers to the credit bureaux to check their other banking relationships, he found that only 1% had housing loans or loans against property (LAP). The rest had no other assets beyond their micro-loans, and there was single-digit penetration in two-wheeler loans. This was a huge runway to build the business. "If you are feeling pas-

JANA SFB IN FY24 HAS GIVEN A LONG-TERM GROWTH GUIDANCE OF 20% FOR ADVANCES, 1.8-2% FOR ROA, AND 30-40% FOR PROFIT AFTER TAX

69

sionate about it and want to do it, take up the banking challenge," advised Banga. Kanwal joined Jana in August 2017. Four months earlier, Jana had secured an SFB licence. Kanwal's brief was to set things right at Jana and start SFB operations as soon as possible.

The first major task was to mobilise capital. Jana was in the red as asset quality had deteriorated. Kanwal soon received equity investments from TPG and GIC. "There were two or three key factors that attracted investors," he says. First, the SFB licence was a significant milestone. Second, the